

Taxes for Unmarried Couples

Unlike married couples, unmarried couples can't file joint returns. This can help you or hurt you depending on how your income falls in with the "marriage tax penalty."

Home Mortgage Interest Deduction

When you own a house together, the issue of who will get to claim the mortgage interest and property tax deductions for federal income tax return purposes has to be addressed. You could split the deductions in half, but you might not benefit as much from this method if one of you makes significantly more than the other, because the deductions will create more tax savings for the person with the higher tax rate. It might make more sense to let that person claim the entire deduction and compensate the other person in some monetary way.



ESSENTIAL

For a comprehensive guide to the legal and financial implications of living together, see *Living Together: A Legal Guide for Unmarried Couples* by attorneys Ralph Warner, Toni Ihara, and Frederick Hertz, available from [Nolo.com](http://www.nolo.com) (www.nolo.com). Click on Search and type in the keywords "Living Together Guide."

Head of Household and Earned-Income Tax Credit

If a dependent child lives with you and your unmarried partner at least six months a year, and you provide more than 50 percent of the cost of maintaining the household, you can claim head of household status on your